FY2026 Year-End Audit · Findings for the CPA

Findings for the CPA from the audit procedures; not an audit report or opinion.

Client	HANGS Construction Services LLC
Year audited	July 1, 2025–June 30, 2026 (FY2026)
Prepared from	16 evidence files: the client's books, the vendors' invoices and letters sent directly to the audit team
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed, concluded or signed. Nothing was posted or sent to the client.

Materiality, Proposed

Book income, the benchmark	$244,500.00
Materiality: 5% of book income, rounded down	$12,000.00
Performance materiality: 75%	$9,000.00
Clearly trivial: 5% of materiality	$600.00

The engagement partner sets the final amounts. Items under the clearly trivial amount are listed but not added up.

What the Procedures Found

Procedure	What was found	Amount
Sample of 30	29 of 30 picks agree with their invoices; HC-COST-0100 has no readable invoice (SCAN-01)	$3,100.00
Key items	HFC-26-0142 agrees hour by hour; whether close-out legal fees belong in construction cost is for the CPA (CLS-01)	$18,500.00
Vendor invoices	BPW-5120 change order never booked; clearly trivial, listed only (TRV-01)	$250.00
	FSS-0117 is billed to HANGS Holdings Inc but the company paid it (ENT-01)	$3,100.00
Contract revenue	All 104 receipts agree with the receipts report sent directly to the audit team	$3,276,000.00
Unrecorded bills	SWR-8052 is for June work and missing from the June 30 payables (MIS-01)	$2,150.00
Reserves	Warranty reserve left from projects whose one-year warranties have ended (WAR-01)	$7,400.00
	Completion estimate with no quote or calculation on file (CTC-01)	$1,100.00
Dividends	Agree in amount, split and bank wires; the authorization date is in question (DIST-01)	$240,000.00
Cash	Reconciled to the bank's own letter; the bank reports no loans	$0.00
Analytics	June progress payments with no receipts, while Project 5 is planned (AN-01)	$186,000.00

Against Materiality

Known misstatements, added up	**$2,150.00**
Performance materiality	$9,000.00
Materiality	$12,000.00

Known misstatements are 18% of materiality. Judgments and open evidence could raise book income by up to $10,500.00. Comparing these with materiality and concluding is the CPA's job.

Signature: none. This memo gives no audit opinion and is not an audit report. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted; the client decides whether to record the proposed one.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Book Income, the Benchmark

$244,500.00

Workbook: Materiality!B11

Draft figure · the CPA reviews and concludes

Materiality!B11 = $244,500.00

=B8-B9-B10

Materiality!B8 = $3,276,000.00

=-'E01 Trial Balance'!C14

E01 Trial Balance!C14 = ($3,276,000.00)

Materiality!B9 = $2,888,500.00

='E01 Trial Balance'!C15

E01 Trial Balance!C15 = $2,888,500.00

Materiality!B10 = $143,000.00

='E01 Trial Balance'!C16

E01 Trial Balance!C16 = $143,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Construction!C14, HANGS Construction!C15, HANGS Construction!C16

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Materiality, Proposed

$12,000.00

Workbook: Materiality!B12

Draft figure · the CPA reviews and concludes

Materiality!B12 = $12,000.00

=ROUNDDOWN(B11*B16/1000,0)*1000

Materiality!B11 = $244,500.00

=B8-B9-B10

Materiality!B8 = $3,276,000.00

=-'E01 Trial Balance'!C14

E01 Trial Balance!C14 = ($3,276,000.00)

Materiality!B9 = $2,888,500.00

='E01 Trial Balance'!C15

E01 Trial Balance!C15 = $2,888,500.00

Materiality!B10 = $143,000.00

='E01 Trial Balance'!C16

E01 Trial Balance!C16 = $143,000.00

Materiality!B16 = 5.000%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Construction!C14, HANGS Construction!C15, HANGS Construction!C16

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Performance Materiality

$9,000.00

Workbook: Materiality!B13

Draft figure · the CPA reviews and concludes

Materiality!B13 = $9,000.00

=ROUND(B12*0.75,2)

Materiality!B12 = $12,000.00

=ROUNDDOWN(B11*B16/1000,0)*1000

Materiality!B11 = $244,500.00

=B8-B9-B10

Materiality!B8 = $3,276,000.00

=-'E01 Trial Balance'!C14

E01 Trial Balance!C14 = ($3,276,000.00)

Materiality!B9 = $2,888,500.00

='E01 Trial Balance'!C15

E01 Trial Balance!C15 = $2,888,500.00

Materiality!B10 = $143,000.00

='E01 Trial Balance'!C16

E01 Trial Balance!C16 = $143,000.00

Materiality!B16 = 5.000%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Construction!C14, HANGS Construction!C15, HANGS Construction!C16

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Clearly Trivial

$600.00

Workbook: Materiality!B14

Draft figure · the CPA reviews and concludes

Materiality!B14 = $600.00

=ROUND(B12*0.05,2)

Materiality!B12 = $12,000.00

=ROUNDDOWN(B11*B16/1000,0)*1000

Materiality!B11 = $244,500.00

=B8-B9-B10

Materiality!B8 = $3,276,000.00

=-'E01 Trial Balance'!C14

E01 Trial Balance!C14 = ($3,276,000.00)

Materiality!B9 = $2,888,500.00

='E01 Trial Balance'!C15

E01 Trial Balance!C15 = $2,888,500.00

Materiality!B10 = $143,000.00

='E01 Trial Balance'!C16

E01 Trial Balance!C16 = $143,000.00

Materiality!B16 = 5.000%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Construction!C14, HANGS Construction!C15, HANGS Construction!C16

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Sample · Sample, Ledger Amounts

$110,000.00

Workbook: Sample!B39

Draft figure · the CPA reviews and concludes

Sample!B39 = $110,000.00

=SUM(B8:B37)

Sample!B8 = $3,100.00

='E02 Ledger'!G1351

E02 Ledger!G1351 = $3,100.00

Sample!B9 = $3,100.00

='E02 Ledger'!G1641

E02 Ledger!G1641 = $3,100.00

Sample!B10 = $3,100.00

='E02 Ledger'!G1605

E02 Ledger!G1605 = $3,100.00

Sample!B11 = $3,100.00

='E02 Ledger'!G315

E02 Ledger!G315 = $3,100.00

Sample!B12 = $3,100.00

='E02 Ledger'!G1949

E02 Ledger!G1949 = $3,100.00

Sample!B13 = $3,100.00

='E02 Ledger'!G909

E02 Ledger!G909 = $3,100.00

Sample!B14 = $3,100.00

='E02 Ledger'!G421

E02 Ledger!G421 = $3,100.00

Sample!B15 = $3,100.00

='E02 Ledger'!G1385

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!G1351, General Ledger!G1641, General Ledger!G1605, General Ledger!G315, General Ledger!G1949, General Ledger!G909

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Sample · Agreed to Invoices

$106,900.00

Workbook: Sample!C40

Draft figure · the CPA reviews and concludes

Sample!C40 = $106,900.00

=SUM(C8:C37)

Sample!C8 = $3,100.00

='E04 Sample Support'!G22

E04 Sample Support!G22 = $3,100.00

Sample!C9 = $3,100.00

='E04 Sample Support'!G32

E04 Sample Support!G32 = $3,100.00

Sample!C10 = $3,100.00

='E04 Sample Support'!G29

E04 Sample Support!G29 = $3,100.00

Sample!C11 = $3,100.00

='E04 Sample Support'!G13

E04 Sample Support!G13 = $3,100.00

Sample!C12 = $3,100.00

='E04 Sample Support'!G20

E04 Sample Support!G20 = $3,100.00

Sample!C13 = $3,100.00

='E04 Sample Support'!G31

E04 Sample Support!G31 = $3,100.00

Sample!C14 = None

Sample!C15 = $3,100.00

='E04 Sample Support'!G23

E04 Sample Support!G23 = $3,100.00

Sample!C16 = $3,100.00

='E04 Sample Support'!G26

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Sample Support/FY2026 sample support from Morgan Lee.pdf · PDF pages 1-29, one invoice per page: bill-to, number, date, customer reference, lines and TOTAL DUE

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Sample · Not Concluded (SCAN-01)

$3,100.00

Workbook: Sample!B41

Draft figure · the CPA reviews and concludes

Sample!B41 = $3,100.00

=B14

Sample!B14 = $3,100.00

='E02 Ledger'!G421

E02 Ledger!G421 = $3,100.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!G421

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Sample · Key Item HFC-26-0142

$18,500.00

Workbook: Sample!B43

Draft figure · the CPA reviews and concludes

Sample!B43 = $18,500.00

='E02 Ledger'!G221

E02 Ledger!G221 = $18,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!G221

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Sample · Key Item HC-ACCR-01

$9,400.00

Workbook: Sample!B44

Draft figure · the CPA reviews and concludes

Sample!B44 = $9,400.00

='E02 Ledger'!G2123

E02 Ledger!G2123 = $9,400.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!G2123

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Vendor Invoices · BPW-5120 Change Order Not Booked

$250.00

Workbook: Vendor Invoices!B22

Draft figure · the CPA reviews and concludes

Vendor Invoices!B22 = $250.00

=D13

Vendor Invoices!D13 = $250.00

=C13-B13

Vendor Invoices!C13 = $3,350.00

='E06 Vendor Invoices'!G14

E06 Vendor Invoices!G14 = $3,350.00

Vendor Invoices!B13 = $3,100.00

='E02 Ledger'!G1055

E02 Ledger!G1055 = $3,100.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Vendor Documents/Vendor invoices printed from Invoice Approvals.pdf · PDF pages 1-13, one invoice per page: bill-to, number, date, customer reference, service period, lines and TOTAL DUE

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!G1055

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Vendor Invoices · FSS-0117 Billed to Another HANGS Company

$3,100.00

Workbook: Vendor Invoices!B23

Draft figure · the CPA reviews and concludes

Vendor Invoices!B23 = $3,100.00

=C10

Vendor Invoices!C10 = $3,100.00

='E06 Vendor Invoices'!G11

E06 Vendor Invoices!G11 = $3,100.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Vendor Documents/Vendor invoices printed from Invoice Approvals.pdf · PDF pages 1-13, one invoice per page: bill-to, number, date, customer reference, service period, lines and TOTAL DUE

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Contract Revenue · Contract Revenue in the Ledger

$3,276,000.00

Workbook: Vendor Invoices!B26

Draft figure · the CPA reviews and concludes

Vendor Invoices!B26 = $3,276,000.00

='Materiality'!B8

Materiality!B8 = $3,276,000.00

=-'E01 Trial Balance'!C14

E01 Trial Balance!C14 = ($3,276,000.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Construction!C14

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Contract Revenue · Receipts Report, Every Receipt

$3,276,000.00

Workbook: Vendor Invoices!B27

Draft figure · the CPA reviews and concludes

Vendor Invoices!B27 = $3,276,000.00

=SUM('E07 Receipts Report'!C8:C106)+SUM('E07 Receipts Report'!C107:C111)

E07 Receipts Report!C8 = $31,500.00

E07 Receipts Report!C9 = $31,500.00

E07 Receipts Report!C10 = $31,500.00

E07 Receipts Report!C11 = $31,500.00

E07 Receipts Report!C12 = $31,500.00

E07 Receipts Report!C13 = $31,500.00

E07 Receipts Report!C14 = $31,500.00

E07 Receipts Report!C15 = $31,500.00

E07 Receipts Report!C16 = $31,500.00

E07 Receipts Report!C17 = $31,500.00

E07 Receipts Report!C18 = $31,500.00

E07 Receipts Report!C19 = $31,500.00

E07 Receipts Report!C20 = $31,500.00

E07 Receipts Report!C21 = $31,500.00

E07 Receipts Report!C22 = $31,500.00

E07 Receipts Report!C23 = $31,500.00

E07 Receipts Report!C24 = $31,500.00

E07 Receipts Report!C25 = $31,500.00

E07 Receipts Report!C26 = $31,500.00

E07 Receipts Report!C27 = $31,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Confirmations/Marshgate Funds Control receipts report.xlsx · Receipts!C8, Receipts!C9, Receipts!C10, Receipts!C11, Receipts!C12, Receipts!C13

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Unrecorded Bills · June 30 Payables

$9,400.00

Workbook: Unrecorded Bills!B8

Draft figure · the CPA reviews and concludes

Unrecorded Bills!B8 = $9,400.00

=-'E01 Trial Balance'!C11

E01 Trial Balance!C11 = ($9,400.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Construction!C11

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Unrecorded Bills · Missing From June 30 Payables (MIS-01)

$2,150.00

Workbook: Unrecorded Bills!B21

Draft figure · the CPA reviews and concludes

Unrecorded Bills!B21 = $2,150.00

=D15

Unrecorded Bills!D15 = $2,150.00

=B15

Unrecorded Bills!B15 = $2,150.00

='E08 July Bank'!D16

E08 July Bank!D16 = $2,150.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Bank Statements/July 2026 bank statement.pdf · PDF page 1; July 2026 payments and closing balance

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Unrecorded Bills · Last Year's Payable

$12,700.00

Workbook: Unrecorded Bills!B25

Draft figure · the CPA reviews and concludes

Unrecorded Bills!B25 = $12,700.00

='E02 Ledger'!H9

E02 Ledger!H9 = $12,700.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!H9

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Reserves · Warranty Reserve, Opening

$11,600.00

Workbook: Reserves!B8

Draft figure · the CPA reviews and concludes

Reserves!B8 = $11,600.00

='E02 Ledger'!H10

E02 Ledger!H10 = $11,600.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!H10

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Reserves · Warranty Claims Paid

$4,200.00

Workbook: Reserves!B15

Draft figure · the CPA reviews and concludes

Reserves!B15 = $4,200.00

=SUM(B9:B14)

Reserves!B9 = $700.00

='E02 Ledger'!G2109

E02 Ledger!G2109 = $700.00

Reserves!B10 = $700.00

='E02 Ledger'!G2111

E02 Ledger!G2111 = $700.00

Reserves!B11 = $700.00

='E02 Ledger'!G2113

E02 Ledger!G2113 = $700.00

Reserves!B12 = $700.00

='E02 Ledger'!G2115

E02 Ledger!G2115 = $700.00

Reserves!B13 = $700.00

='E02 Ledger'!G2117

E02 Ledger!G2117 = $700.00

Reserves!B14 = $700.00

='E02 Ledger'!G2119

E02 Ledger!G2119 = $700.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!G2109, General Ledger!G2111, General Ledger!G2113, General Ledger!G2115, General Ledger!G2117, General Ledger!G2119

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Reserves · Left From Ended Warranties (WAR-01)

$7,400.00

Workbook: Reserves!B16

Draft figure · the CPA reviews and concludes

Reserves!B16 = $7,400.00

=B8-B15

Reserves!B8 = $11,600.00

='E02 Ledger'!H10

E02 Ledger!H10 = $11,600.00

Reserves!B15 = $4,200.00

=SUM(B9:B14)

Reserves!B9 = $700.00

='E02 Ledger'!G2109

E02 Ledger!G2109 = $700.00

Reserves!B10 = $700.00

='E02 Ledger'!G2111

E02 Ledger!G2111 = $700.00

Reserves!B11 = $700.00

='E02 Ledger'!G2113

E02 Ledger!G2113 = $700.00

Reserves!B12 = $700.00

='E02 Ledger'!G2115

E02 Ledger!G2115 = $700.00

Reserves!B13 = $700.00

='E02 Ledger'!G2117

E02 Ledger!G2117 = $700.00

Reserves!B14 = $700.00

='E02 Ledger'!G2119

E02 Ledger!G2119 = $700.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!H10, General Ledger!G2109, General Ledger!G2111, General Ledger!G2113, General Ledger!G2115, General Ledger!G2117

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Reserves · Estimate for This Year's Projects

$7,500.00

Workbook: Reserves!B17

Draft figure · the CPA reviews and concludes

Reserves!B17 = $7,500.00

='E02 Ledger'!H2126

E02 Ledger!H2126 = $7,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!H2126

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Reserves · Warranty Reserve, Ending

$14,900.00

Workbook: Reserves!B18

Draft figure · the CPA reviews and concludes

Reserves!B18 = $14,900.00

=B16+B17

Reserves!B16 = $7,400.00

=B8-B15

Reserves!B8 = $11,600.00

='E02 Ledger'!H10

E02 Ledger!H10 = $11,600.00

Reserves!B15 = $4,200.00

=SUM(B9:B14)

Reserves!B9 = $700.00

='E02 Ledger'!G2109

E02 Ledger!G2109 = $700.00

Reserves!B10 = $700.00

='E02 Ledger'!G2111

E02 Ledger!G2111 = $700.00

Reserves!B11 = $700.00

='E02 Ledger'!G2113

E02 Ledger!G2113 = $700.00

Reserves!B12 = $700.00

='E02 Ledger'!G2115

E02 Ledger!G2115 = $700.00

Reserves!B13 = $700.00

='E02 Ledger'!G2117

E02 Ledger!G2117 = $700.00

Reserves!B14 = $700.00

='E02 Ledger'!G2119

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!H10, General Ledger!G2109, General Ledger!G2111, General Ledger!G2113, General Ledger!G2115, General Ledger!G2117

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Reserves · Completion Estimate (CTC-01)

$1,100.00

Workbook: Reserves!B25

Draft figure · the CPA reviews and concludes

Reserves!B25 = $1,100.00

='E02 Ledger'!H2128

E02 Ledger!H2128 = $1,100.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!H2128

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Dividends · Dividends to the Shareholders

$240,000.00

Workbook: Dividends!B10

Draft figure · the CPA reviews and concludes

Dividends!B10 = $240,000.00

=B8+B9

Dividends!B8 = $239,760.00

='E02 Ledger'!G2129

E02 Ledger!G2129 = $239,760.00

Dividends!B9 = $240.00

='E02 Ledger'!G2131

E02 Ledger!G2131 = $240.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!G2129, General Ledger!G2131

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Dividends · Ending Equity

$4,500.00

Workbook: Dividends!B21

Draft figure · the CPA reviews and concludes

Dividends!B21 = $4,500.00

=B18+B19+B20

Dividends!B18 = $0.00

=-'E01 Trial Balance'!C12

E01 Trial Balance!C12 = $0.00

Dividends!B19 = $244,500.00

='Materiality'!B11

Materiality!B11 = $244,500.00

=B8-B9-B10

Materiality!B8 = $3,276,000.00

=-'E01 Trial Balance'!C14

E01 Trial Balance!C14 = ($3,276,000.00)

Materiality!B9 = $2,888,500.00

='E01 Trial Balance'!C15

E01 Trial Balance!C15 = $2,888,500.00

Materiality!B10 = $143,000.00

='E01 Trial Balance'!C16

E01 Trial Balance!C16 = $143,000.00

Dividends!B20 = ($240,000.00)

=-B10

Dividends!B10 = $240,000.00

=B8+B9

Dividends!B8 = $239,760.00

='E02 Ledger'!G2129

E02 Ledger!G2129 = $239,760.00

Dividends!B9 = $240.00

='E02 Ledger'!G2131

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Construction!C12, HANGS Construction!C14, HANGS Construction!C15, HANGS Construction!C16

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!G2129, General Ledger!G2131

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Cash · Balance per Bank, Confirmed

$42,300.00

Workbook: Cash and Bank!B8

Draft figure · the CPA reviews and concludes

Cash and Bank!B8 = $42,300.00

='E15 Bank Letter'!B11

E15 Bank Letter!B11 = $42,300.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Confirmations/Cinderbrook Bank confirmation.pdf · PDF page 1; balance on deposit, loans, lines of credit, guarantees and signature

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Cash · Payments Not Yet Cleared

$12,400.00

Workbook: Cash and Bank!B16

Draft figure · the CPA reviews and concludes

Cash and Bank!B16 = $12,400.00

=SUM(B12:B15)

Cash and Bank!B12 = $3,100.00

='E02 Ledger'!H950

E02 Ledger!H950 = $3,100.00

Cash and Bank!B13 = $3,100.00

='E02 Ledger'!H952

E02 Ledger!H952 = $3,100.00

Cash and Bank!B14 = $3,100.00

='E02 Ledger'!H1680

E02 Ledger!H1680 = $3,100.00

Cash and Bank!B15 = $3,100.00

='E02 Ledger'!H1682

E02 Ledger!H1682 = $3,100.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!H950, General Ledger!H952, General Ledger!H1680, General Ledger!H1682

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Cash · Adjusted Bank Balance

$29,900.00

Workbook: Cash and Bank!B17

Draft figure · the CPA reviews and concludes

Cash and Bank!B17 = $29,900.00

=B8-B16

Cash and Bank!B8 = $42,300.00

='E15 Bank Letter'!B11

E15 Bank Letter!B11 = $42,300.00

Cash and Bank!B16 = $12,400.00

=SUM(B12:B15)

Cash and Bank!B12 = $3,100.00

='E02 Ledger'!H950

E02 Ledger!H950 = $3,100.00

Cash and Bank!B13 = $3,100.00

='E02 Ledger'!H952

E02 Ledger!H952 = $3,100.00

Cash and Bank!B14 = $3,100.00

='E02 Ledger'!H1680

E02 Ledger!H1680 = $3,100.00

Cash and Bank!B15 = $3,100.00

='E02 Ledger'!H1682

E02 Ledger!H1682 = $3,100.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Confirmations/Cinderbrook Bank confirmation.pdf · PDF page 1; balance on deposit, loans, lines of credit, guarantees and signature

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!H950, General Ledger!H952, General Ledger!H1680, General Ledger!H1682

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Cash · Cash in the Trial Balance

$29,900.00

Workbook: Cash and Bank!B18

Draft figure · the CPA reviews and concludes

Cash and Bank!B18 = $29,900.00

='E01 Trial Balance'!C8

E01 Trial Balance!C8 = $29,900.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Construction!C8

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Cash · Cash Against the Bank: Difference

$0.00

Workbook: Cash and Bank!B19

Draft figure · the CPA reviews and concludes

Cash and Bank!B19 = $0.00
=B17-B18

Cash and Bank!B17 = $29,900.00
=B8-B16

Cash and Bank!B8 = $42,300.00
='E15 Bank Letter'!B11

E15 Bank Letter!B11 = $42,300.00

Cash and Bank!B16 = $12,400.00
=SUM(B12:B15)

Cash and Bank!B12 = $3,100.00
='E02 Ledger'!H950

E02 Ledger!H950 = $3,100.00

Cash and Bank!B13 = $3,100.00
='E02 Ledger'!H952

E02 Ledger!H952 = $3,100.00

Cash and Bank!B14 = $3,100.00
='E02 Ledger'!H1680

E02 Ledger!H1680 = $3,100.00

Cash and Bank!B15 = $3,100.00
='E02 Ledger'!H1682

E02 Ledger!H1682 = $3,100.00

Cash and Bank!B18 = $29,900.00
='E01 Trial Balance'!C8

E01 Trial Balance!C8 = $29,900.00

Source files and cells (the full formula chain is in the workbook and on the review screen):
05 Confirmations/Cinderbrook Bank confirmation.pdf · PDF page 1; balance on deposit, loans, lines of credit, guarantees and signature
01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!H950, General Ledger!H952, General Ledger!H1680, General Ledger!H1682
01 Client Accounting/FY2026 trial balance.xlsx · HANGS Construction!C8

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Analytics · June Progress Payments, No Receipts (AN-01)

$186,000.00

Workbook: Analytics!B31

Draft figure · the CPA reviews and concludes

Analytics!B31 = $186,000.00

=B29

Analytics!B29 = $186,000.00

='E02 Ledger'!G893+'E02 Ledger'!G895+'E02 Ledger'!G897+'E02 Ledger'!G899+'E02 Ledger'!G901+'E02 Ledger'!G903+'E02 Ledger'!G905+'E02 Ledger'!G907+'E02 Ledger'!G909+'E02 Ledger'!G911+'E02 Ledger'!G913+'E02 Ledger'!G915+'E02 Ledger'!G917+'E02 Ledger'!G919+'E02 Ledger'!G921+'E02 Ledger'!G923+'E02 Ledger'!G925+'E02 Ledger'!G927+'E02 Ledger'!G929+'E02 Ledger'!G931+'E02 Ledger'!G933+'E02 Ledger'!G935+'E0

E02 Ledger!G893 = $3,100.00

E02 Ledger!G895 = $3,100.00

E02 Ledger!G897 = $3,100.00

E02 Ledger!G899 = $3,100.00

E02 Ledger!G901 = $3,100.00

E02 Ledger!G903 = $3,100.00

E02 Ledger!G905 = $3,100.00

E02 Ledger!G907 = $3,100.00

E02 Ledger!G909 = $3,100.00

E02 Ledger!G911 = $3,100.00

E02 Ledger!G913 = $3,100.00

E02 Ledger!G915 = $3,100.00

E02 Ledger!G917 = $3,100.00

E02 Ledger!G919 = $3,100.00

E02 Ledger!G921 = $3,100.00

E02 Ledger!G923 = $3,100.00

E02 Ledger!G925 = $3,100.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!G893, General Ledger!G895, General Ledger!G897, General Ledger!G899, General Ledger!G901, General Ledger!G903

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Misstatements · Known Misstatements, Added Up

$2,150.00

Workbook: Misstatements!B11

Draft figure · the CPA reviews and concludes

Misstatements!B11 = $2,150.00

=B8

Misstatements!B8 = $2,150.00

='Unrecorded Bills'!B21

Unrecorded Bills!B21 = $2,150.00

=D15

Unrecorded Bills!D15 = $2,150.00

=B15

Unrecorded Bills!B15 = $2,150.00

='E08 July Bank'!D16

E08 July Bank!D16 = $2,150.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Bank Statements/July 2026 bank statement.pdf · PDF page 1; July 2026 payments and closing balance

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

WHAT STILL NEEDS A PERSON

MIS-01 · $2,150.00: Stonewick Roofing SWR-8052, June 8-24, 2026 work, is missing from the June 30 payables. The vendor asked on June 30, 2026 that it be recorded; it was paid July 15, 2026. Payables and this year's costs are understated, and book income overstated, by $2,150.00. Proposed adjustment: debit 500100 Construction contract costs, credit 210100 Accounts payable. The client decides whether to record it; the machine never posts.

TRV-01 · $250.00: Bluepine Concrete Works BPW-5120: its $250.00 change order (“Change order, added broom finish”) was never booked. It is under the $600.00 clearly trivial amount, so it is listed but not added up. If the vendor is still owed it, payables are understated by $250.00.

DOC-01: The FY2026 trial balance export is marked “draft and unapproved”. Every figure here rests on it. Ask Morgan Lee for the approved version and compare it with this one.

SCAN-01 · $3,100.00: HC-COST-0100 ($3,100.00, October 8, 2025) has no readable invoice. Page 13 of the vendor invoice file, scanned at the site office, is a picture with no text layer and may be it. A person keys the invoice or requests a copy, and the pick is vouched then. The machine does not guess what a picture says.

ENT-01 · $3,100.00: Fernhollow Site Services FSS-0117 is billed to HANGS Holdings Inc, but the company booked and paid it (HC-COST-0733). The client says that company only holds its shares in the company, so the vendor may have addressed the wrong HANGS company. Ask the vendor which company the work was for; if it was the other company's, the company is owed the amount and its costs are overstated.

WAR-01 · $7,400.00: Warranty reserve: $7,400.00 of the $14,900.00 balance is left from projects completed by June 30, 2025, whose one-year warranties all ended by April 24, 2026. The $7,500.00 estimate for this year's projects has no calculation on file. Request the claims still open at June 30. The CPA judges whether the reserve is reasonable.

CTC-01 · $1,100.00: The $1,100.00 completion estimate for the projects completed in May was entered July 11, 2026, after year end. The client's answer 14 describes it, but no quote or calculation is on file.

CLS-01 · $18,500.00: HFC-26-0142 close-out legal fees are in construction cost. Every hour and rate agrees, but the invoice is for Project 4 close-out services. Moving it to estimating and bid costs would leave book income unchanged and lower the gross margin. The CPA decides.

DIST-01 · $240,000.00: The dividend authorization is dated June 30, 2026, but the journals were entered July 14, 2026, the operating agreement was signed July 22, 2026, and the client's answers of November 3, 2026 say the signed authorization is still being collected. Ask Morgan Lee when it was actually signed; until then neither date is relied on.

AN-01 · $186,000.00: June has 60 progress payments, $186,000.00, and no receipts, about what 6.7 milestones cost. The client says June costs are completion and punch-list work on completed projects, and 3 of the 3 June picks agree, but site costs run through the same draw account and Project 5 is planned. If any June payment was for Project 5 mobilization or started Project 5 work, that cost belongs on hand at June 30. The CPA decides how much more to test.

AN-02: Book income rose 249%, from $70,000.00 to $244,500.00: the price per milestone rose 10.9% and the cost per milestone 4.8%. Why prices rose faster than costs is for Morgan Lee to explain and the CPA to judge.

DRAFT FOR THE CPA

WHAT STILL NEEDS A PERSON, CONTINUED

MAT-01 · $12,000.00: Materiality is proposed at $12,000.00, 5% of book income, with performance materiality $9,000.00 and clearly trivial $600.00. The engagement partner sets the final amounts.

REP-01: No management representation letter has been obtained. The CPA requests it near the end of fieldwork, dated as of the report date.

SIGN-01: These are draft workpapers and findings for the engagement partner. They are not an audit report and give no opinion. Nothing has been signed, posted or sent to the client.

This memo is a draft for the engagement partner. It is not an audit report and gives no opinion; nothing has been signed, posted or sent.

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